

How Does A Chit Fund Work?

Simply put, the chit fund begins on a specified date and continues for the number of months equal to the number of subscribers. member's contribute their monthly installments to the pot, and a reverse auction is conducted each month allowing member's to bid for the Prize Money.

The subscriber willing to take the lowest sum with the lowest bid is declared the winner and receives the Prize Money for that month. The balance amount is distributed as a dividend among all member's after deducting the Foreman's Commission (5%). The process is repeated each month, thus allowing each member to win the Prize Money. A Chit fund offers you the unique advantage of allowing you to borrow from your future savings.

Example:

Assume a chit fund scheme with 50 member's that will run for 50 months, with each paying a monthly instalment of ₹10,000/- to create a ₹5,00,000/- pot. When the auction is announced, the member who bids the highest discount wins the Bid. (40% is the maximum discount anyone can bid as per Law).

- **Number of member's in the chit fund scheme** – 50
- **Duration**– 50 months
- **Monthly instalment payable by each member**– Rs. 10,000/-
- **Total pot value**– Rs. 5,00,000/- (50 member's x 10,000)

In this example, let us assume the winning Bid offered a 35% discount.

- **Discount offered by the winning Bid** – 35%
- **Amount of discount**– Rs. 1,75,000/- (35% of 5,00,000)
- **Amount received by the winner** – Rs. 3,25,000/- (5,00,000 less 1,75,000)

The balance amount is distributed equally among the member's after deducting the Foreman's commission.

- **Foreman's commission** – 5-7% = Rs. 25000/-
- **Total Dividend**– Rs. 1,75,000 less Rs. 25,000 = Rs. 1,50,000/-
- **Dividend credited to each member's account** – 1,50,000/50 = Rs. 3,000/-

So in the following month, the member will have to pay only ₹7,000 (₹10,000 - ₹3,000) instead of ₹10,000.

Chit Terminology (Explained With The Help Of The Above Example)

Instalment = Monthly Subscription = ₹10,000

Period = Number of months = 50

Gross Chit Amount = Total of Instalments by all member's = ₹5 lac (₹10,000x50)

Bid offer Amount = Amount willing to be foregone by the subscriber to win the prize Money = ₹1,75,000

(if we consider Bid = 35%).

Min Bid Amount = 5% (Foreman Commission),

Max Bid Amount = 30% (for 30 & 40 months Chit Fund) and 35% (for 50 months Chit Fund),

Net Amount (Prize Money) = Chit Amount minus Bid-Offer Amount (₹5,00,000 - ₹1,75,000 = ₹3,25,000)

Foreman Commission (FC) = 5% of the Gross Chit Amount (₹25,000)

Total Dividend = Bid offer Amount minus Foreman Commission (₹1,75,000 - ₹25,000 = ₹1,50,000).

Dividend per Customer (Share of Discount) = Total Dividend/No of Subscribers (₹1,50,000/50 = ₹3,000)

Next Month Instalment = Gross Instalment minus Dividend (₹10,000-₹3,000 = ₹7,000)

Example of a Chit Table(statement) for the entire period

Month	Instal No	Instl Amt Paid by customer	No Members	Total Amt Collected from Customers	Last Month Dividend	Total Amt Available for auction	Bid %	Bid Offer	Foremen Commission	Net Amount Payable to P's	Amt Available for Distribution(Dividend)	Per Head Dividend	Next Month Instalment
A	B	C	D	E	F	G	H	I	J	K	L	M	N
Dec-18	1	10000	50	500000	0	500000	5%	25000	25000	475000	0	0	10000
Jan-19	2	10000	50	500000	0	500000	35%	175000	25000	325000	150000	3000	7000
Feb-19	3	7000	50	350000	150000	500000	35%	175000	25000	325000	150000	3000	7000
Mar-19	4	7000	50	350000	150000	500000	35%	175000	25000	325000	150000	3000	7000
Apr-19	5	7000	50	350000	150000	500000	35%	175000	25000	325000	150000	3000	7000
May-19	6	7000	50	350000	150000	500000	35%	175000	25000	325000	150000	3000	7000
Jun-19	7	7000	50	350000	150000	500000	35%	175000	25000	325000	150000	3000	7000
Jul-19	8	7000	50	350000	150000	500000	35%	175000	25000	325000	150000	3000	7000
Aug-19	9	7000	50	350000	150000	500000	35%	175000	25000	325000	150000	3000	7000
Sep-19	10	7000	50	350000	150000	500000	35%	175000	25000	325000	150000	3000	7000
Oct-19	11	7000	50	350000	150000	500000	30%	150000	25000	350000	125000	2500	7500
Nov-19	12	7500	50	375000	125000	500000	30%	150000	25000	350000	125000	2500	7500
Dec-19	13	7500	50	375000	125000	500000	30%	150000	25000	350000	125000	2500	7500
Jan-20	14	7500	50	375000	125000	500000	30%	150000	25000	350000	125000	2500	7500
Feb-20	15	7500	50	375000	125000	500000	30%	150000	25000	350000	125000	2500	7500
Mar-20	16	7500	50	375000	125000	500000	30%	150000	25000	350000	125000	2500	7500
Apr-20	17	7500	50	375000	125000	500000	30%	150000	25000	350000	125000	2500	7500
May-20	18	7500	50	375000	125000	500000	25%	125000	25000	375000	100000	2000	8000
Jun-20	19	8000	50	400000	100000	500000	25%	125000	25000	375000	100000	2000	8000
Jul-20	20	8000	50	400000	100000	500000	25%	125000	25000	375000	100000	2000	8000
Aug-20	21	8000	50	400000	100000	500000	25%	125000	25000	375000	100000	2000	8000
Sep-20	22	8000	50	400000	100000	500000	25%	125000	25000	375000	100000	2000	8000
Oct-20	23	8000	50	400000	100000	500000	25%	125000	25000	375000	100000	2000	8000
Nov-20	24	8000	50	400000	100000	500000	20%	100000	25000	400000	75000	1500	8500
Dec-20	25	8500	50	425000	75000	500000	20%	100000	25000	400000	75000	1500	8500
Jan-21	26	8500	50	425000	75000	500000	20%	100000	25000	400000	75000	1500	8500
Feb-21	27	8500	50	425000	75000	500000	20%	100000	25000	400000	75000	1500	8500
Mar-21	28	8500	50	425000	75000	500000	20%	100000	25000	400000	75000	1500	8500
Apr-21	29	8500	50	425000	75000	500000	20%	100000	25000	400000	75000	1500	8500
May-21	30	8500	50	425000	75000	500000	20%	100000	25000	400000	75000	1500	8500
Jun-21	31	8500	50	425000	75000	500000	20%	100000	25000	400000	75000	1500	8500
Jul-21	32	8500	50	425000	75000	500000	15%	75000	25000	425000	50000	1000	9000
Aug-21	33	9000	50	450000	50000	500000	15%	75000	25000	425000	50000	1000	9000
Sep-21	34	9000	50	450000	50000	500000	15%	75000	25000	425000	50000	1000	9000
Oct-21	35	9000	50	450000	50000	500000	15%	75000	25000	425000	50000	1000	9000
Nov-21	36	9000	50	450000	50000	500000	15%	75000	25000	425000	50000	1000	9000
Dec-21	37	9000	50	450000	50000	500000	15%	75000	25000	425000	50000	1000	9000
Jan-22	38	9000	50	450000	50000	500000	15%	75000	25000	425000	50000	1000	9000
Feb-22	39	9000	50	450000	50000	500000	15%	75000	25000	425000	50000	1000	9000
Mar-22	40	9000	50	450000	50000	500000	15%	75000	25000	425000	50000	1000	9000
Apr-22	41	9000	50	450000	50000	500000	10%	50000	25000	450000	25000	500	9500
May-22	42	9500	50	475000	25000	500000	10%	50000	25000	450000	25000	500	9500
Jun-22	43	9500	50	475000	25000	500000	10%	50000	25000	450000	25000	500	9500
Jul-22	44	9500	50	475000	25000	500000	10%	50000	25000	450000	25000	500	9500
Aug-22	45	9500	50	475000	25000	500000	10%	50000	25000	450000	25000	500	9500
Sep-22	46	9500	50	475000	25000	500000	10%	50000	25000	450000	25000	500	9500
Oct-22	47	9500	50	475000	25000	500000	5%	25000	25000	475000	0	0	10000
Nov-22	48	10000	50	500000	0	500000	5%	25000	25000	475000	0	0	10000
Dec-22	49	10000	50	500000	0	500000	5%	25000	25000	475000	0	0	10000
Jan-22	50	10000	50	500000	0	500000	5%	25000	25000	475000	0	0	10000
		419500										80500	

If someone waits to win the Prize Money at the end of the period

Total Amount Invested = ₹4,19,500

Total Amount Received = ₹5 lakhs

Profit = ₹52,500

Note:- The above calculation is only an illustration; the actual return is determined by the auction discount decided by the Chit Fund subscribers.

Available schemes json example

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    }
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}
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Activities after Receiving Prior Sanction from The Registrar of Chits

- Following receipt of the Prior Sanction, the Foreman can announce the launch of the Chit Fund and begin selling tickets.
- After selling all of the tickets, the Foreman will register the agreement with the Registrar and obtain the Commencement Certificate to hold the first auction.
- The contribution will be made in the form of a fixed monthly instalment (₹10,000 per month in the above example).

- From the second month onwards, the member's will be able to bid for the Prize Money from the collected funds through a reverse auction. The Highest Bidder/Prized Subscriber wins the Prize Money for that month.
- 40% is the maximum discount anyone can quote (as per Law).
- As per the above example, the auction is confirmed at a 35% discount. (Discount amount is ₹1,75,000/-)
- So, out of ₹5,00,000/- pooled, ₹3.25,000/- goes to the highest bidder (Prized Subscriber), 5% of ₹5,00,000/- (₹25,000) goes to the Foreman (Muthoot Chits), and the balance ₹1,50,000/- will be equally distributed to all the 50 member's.
- Each member will get ₹3,000 (₹1,50,000/50) as their income, which is called Dividend (share of Dividend), and the same will be credited to their Chit account.
- So next month, the subscriber needs to pay only ₹7,000 (₹10,000 - ₹3,000) instead of ₹10,000.

Participating in The Auction

A member can participate in the auction for the Prize Money from the second month onwards. The first month's Gross Chit Amount goes to the company. To be eligible to make a bid, the subscriber should have paid all the installments and not have any pending ones.

Options to Participate in the Auction

A subscriber can participate in the auction in the following ways.

1. **Direct Participation:**
The member can either participate online or personally attend the auction in the Chit office on the date and time specified in the Chit Fund agreement.
2. **Bid Offer Letter:**
The subscriber needs to fill in all the details in the letter before signing and sending it to the Chit's office.
3. **Bid Authorization Letter:**
The customer can send a proxy to participate in the auction on their behalf. The proxy must carry the authorization letter & valid ID proof to participate in the auction

Key Benefits of Chit Funds

Chit funds provide a unique combination of savings, investment, and financial support, making them a popular choice for individuals, families, and business owners. Some of the key benefits include:

1. Immediate Financial Assistance

Chit funds provide members with access to a lump-sum amount whenever they need financial support. The funds can be used without restrictions, allowing members to meet personal, family, or business requirements.

2. Easy Accessibility

Joining a chit fund is simple and convenient compared to traditional financial institutions. It generally involves minimal documentation and a straightforward enrollment process, making it accessible to a wide range of people.

3. Disciplined Savings Habit

Chit funds encourage regular monthly savings and help members build financial discipline without depending on market fluctuations. They are suitable for individuals who want a structured approach to saving.

4. Dual Benefit of Savings and Credit

Chit funds offer the advantage of both systematic savings and easy access to credit. Members can continue saving regularly while also having the option to receive the prize amount whenever required.

5. Flexible Usage of Funds

The amount received from a chit fund can be used for any personal or professional purpose. Members can utilize the funds for emergencies, weddings, education, medical expenses, home improvements, or other financial needs.

6. Business Finance Support

Chit funds are a valuable source of finance for entrepreneurs and business owners. The prize amount can be used to start a new business, manage working capital, purchase equipment, expand operations, or handle unexpected financial requirements.

7. Financial Inclusion

Chit funds provide financial support to individuals who may not easily qualify for traditional bank loans, especially those working in the informal sector. They offer a simple and reliable financing option without complex procedures.

8. Regular Returns Through Dividends

Members can benefit from monthly dividends generated through the chit auction process. These dividends reduce the monthly contribution burden and improve the overall value received from the chit.

9. Emergency Financial Reserve

Chit funds act as a dependable financial backup during unexpected situations. Members can access funds quickly for urgent needs without lengthy approval processes or complicated paperwork.

10. Higher Return Potential

Depending on auction discounts and participation, chit funds may provide better returns compared to traditional savings options such as fixed deposits. They combine savings growth with financial flexibility.

11. Social Bonding and Community Support

Chit funds often bring together people from the same locality, workplace, or community. This creates trust, cooperation, and stronger social connections among members.

12. Freedom and Convenience

Unlike many financial products that restrict the usage of funds, chit fund members have the freedom to use their winnings according to their priorities and goals.

13. Suitable for Different Financial Needs

Chit funds are beneficial for housewives, salaried employees, small business owners, and families looking for a simple way to save money while maintaining access to funds when needed.

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